

The Bloomberg Terminal

by Andrew Morton

There is a screen on your desk, or on the desk of someone three offices down from you, that knows more about the global productive economy at this moment than the Soviet central planning apparatus accumulated in any year of its existence.

It is updating continuously. It shows the price and volume of every traded equity on every major exchange. It shows the yield curve of every sovereign issuer, decomposed across maturities. It shows the bid and the offer on every actively quoted bond. It shows the spread between them, the volatility surface around them, the volume of recent trades, the depth of the order book.

It shows the AIS position of every commercial vessel afloat. It shows the queue at Hormuz, the queue at Singapore, the queue at Los Angeles-Long Beach. It shows the satellite-derived utilization of every major refinery on earth, the throughput of every monitored pipeline, the nighttime light intensity over jurisdictions whose official statistics cannot be trusted. It shows parking lot fill rates at every major retailer in North America from constellation imagery updated daily.

It shows the credit default swap pricing on every sovereign and every major corporate. It shows inflation expectations broken out by maturity and currency. It shows cross-correlations between asset classes refreshing in real time. It shows the sentiment score on the earnings call that is still in progress as we speak, with the transcript machine-tagged before the CFO has finished answering the question.

It is connected to two hundred thousand professionals who do this work. They message each other through it. They share orders through it. They build models on it. They commit hundreds of millions of dollars of capital, daily, on the basis of what it shows them.

One operator at one of these terminals can see more about the state of global production, distribution, consumption, and capital flow in five minutes than Gosplan accumulated in a year. Not metaphorically. Literally. The bandwidth and resolution of the information available on this single piece of commercial software exceeds the entire Soviet planning apparatus by margins that are not meaningful to estimate.

You know what this is. You may have one. The annual subscription runs north of twenty-five thousand dollars per seat. There are about three hundred and fifty thousand of them. It has existed since 1982. It is the Bloomberg terminal.

Now we have a problem.

The problem is that the central intellectual justification for the system you operate inside — the system that pays for your terminal, your office, your career, and most of the apparatus that produced your education — depends on the claim that this terminal cannot exist.

Not in those words. The claim is older, more elegant, more deeply embedded, and it does not name the Bloomberg terminal because it predates the Bloomberg terminal by thirty-seven years. The claim is

Friedrich Hayek's, published in 1945 in the *American Economic Review*, under the title "The Use of Knowledge in Society." It is the foundational paper of modern market economics. It is the paper your professors cited. It is the paper your central bankers cite. It is the paper that defeated socialism in the calculation debate. It is the paper that, more than any other single document, won the Cold War on the intellectual battlefield.

The argument is simple and it was correct. Hayek observed that economic knowledge is not held in one place. It is distributed across millions of individual actors, each of whom knows something specific about their local circumstances — the farmer who knows his soil, the shoemaker who knows his leather, the engineer who knows his tolerances. No central planner can possibly aggregate this knowledge fast enough or accurately enough to coordinate production. The price mechanism, Hayek argued, performs this aggregation automatically. Prices summarize the distributed knowledge of the entire economy into single numbers that everyone can act on. The market is not just a place where buyers and sellers meet. It is an information processor whose function cannot be replicated by any other means.

This was a real intellectual achievement. It deserved the Nobel Prize that came twenty-nine years later. It deserved the policy revolution that followed. It deserved the chair it has occupied in economic thought for three quarters of a century.

It is also, as of approximately 1985, factually obsolete.

The Bloomberg terminal on your desk performs the aggregation Hayek said only prices could perform. It does so faster, at higher resolution, with lower latency, and with greater accuracy than any market price ever has. It does not infer the state of the world from the residue of trading. It observes the state of the world directly, and the trading happens downstream of the observation. The information flows the other way now. The prices are the output of the system, not the input to it.

You know this because you use it this way. You do not read a price and infer the underlying condition. You read the underlying condition off your terminal and then check the price for consistency with the condition you have already observed. If the price disagrees with the condition, you do not update your view of the condition. You take the trade. The price is wrong and you know it is wrong because the condition is visible.

This is not how the price-signal argument says markets work. This is the opposite of how the price-signal argument says markets work. And it is how the people who allocate capital, on this planet, in this decade, actually work.

Three examples. They are not exotic. They are visible to anyone who has spent ten minutes in the relevant market.

Crude oil. The price of Brent does not discover the supply situation in the Strait of Hormuz. The supply situation in the Strait of Hormuz is observed directly by every major trading desk on earth via AIS tracking of every commercial vessel in the region, satellite imagery of tanker queues, satellite-derived refinery throughput at the major Gulf processing facilities, pipeline flow data published by the operators, storage utilization at Cushing and Rotterdam from infrared satellite passes, and the back-channel intelligence flowing through the trading community about specific cargoes,

specific delays, specific buyer-seller relationships. The price of Brent moves because the operators have observed the condition and traded on it. The price does not aggregate the knowledge. The price reports the consensus of operators who have already aggregated the knowledge through other means.

Container shipping. The 2021–2022 supply chain crisis was not a price discovery event. It was an observation event. Every major importer, every major carrier, every major freight forwarder knew within forty-eight hours of the Long Beach queue forming exactly what was happening, exactly how many vessels were stacked offshore, exactly what was on each vessel, exactly which buyers were exposed. The prices moved later. They moved later because the operators had to decide what to do with the information they already had. The information arrived first. The prices arrived second. The price was not the signal. The price was the receipt.

Agricultural commodities. Corn yields in the American Midwest are estimated to the bushel by satellite spectral analysis weeks before USDA crop reports release. The trading desks have the estimates. They trade on them. When the USDA report drops, the price moves a fraction of what it would move if the price had genuinely been the discovery mechanism, because the discovery happened in the trading desks on the basis of orbital imagery, and the price merely confirms what was already known. The same is true for South American soy, for Black Sea wheat, for Australian iron ore loadings, for Chinese pork inventories visible from the heat signatures of refrigerated warehouses.

In each case, the apparatus that Hayek said could not exist exists. It is in continuous operation. It is owned by the same people who, in their published statements and their op-ed pages and their policy briefs, continue to insist that the price mechanism is the only possible aggregator of distributed economic knowledge. They use the apparatus on Monday and cite the impossibility of the apparatus on Tuesday.

This is not hypocrisy. Hypocrisy implies awareness. This is something stranger. The intellectual framework and the operational reality have been running in parallel for forty years without anyone in the field forcing them to confront each other. The framework is taught in the classroom. The reality is used at the trading desk. The same individual operates in both spaces and does not experience cognitive dissonance because the two compartments do not touch.

The question is what to do with this observation. There are several possible answers, none of them comfortable.

The first answer is that the framework is decorative. It serves no operational function. It is invoked ceremonially to justify a system whose actual workings have outgrown the justification. This is the gentlest answer. It implies only that we should stop citing the framework, retire it with honors, and find new justifications for whatever parts of the system are worth keeping on their own merits.

The second answer is that the framework is load-bearing rhetoric. It performs political work. It justifies a specific distribution of power, a specific arrangement of property, a specific set of policy assumptions, by claiming intellectual necessity for arrangements that are actually contingent. The framework is invoked precisely because the operational reality has outgrown it. The gap between the framework and the reality is where the political work gets done. Discarding the framework would require defending the arrangements on their actual merits, and the actual merits are weaker than the

framework's prestige.

The third answer is the one that should make the readers of this newspaper most uncomfortable. The third answer is that the people who built and operate the Bloomberg apparatus, and the people who allocate capital using it, and the people who write the op-eds defending the price mechanism, and the people who staff the central banks and the treasury departments and the policy institutes — all of these are the same people. The framework was constructed by a particular class to justify a particular allocation of decision-making authority to that class. The fact that the framework is now factually obsolete does not threaten the class, because the class controls the apparatus that the framework concealed. The framework was the public-facing justification. The apparatus is the private operational reality. When the justification fails, the apparatus remains.

Hayek did not foresee this. Hayek was, by all accounts, a serious thinker writing in good faith about a real problem at a specific historical moment. His paper was not a defense of an entrenched class. It was an attempt to solve an engineering question. The question was: how does an economy coordinate without central direction? His answer was the best available answer in 1945. It is no longer the best available answer, because the engineering problem has been solved by means he did not anticipate.

The reader of this paper is now in possession of an uncomfortable fact. The chair you have been sitting in has a rotten leg. You can continue to sit in it. The chair will hold, for a while, on the prestige of its frame and the unwillingness of those around you to point at the leg. But you know now. And once you know, every subsequent invocation of the price-signal argument by yourself or your colleagues will have a different quality. It will sound, faintly, like ceremony.

Because that is what it is.

You will have to decide what to do with that.

End of essay.

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